

Vendor Onboarding SOP

Standard Operating Procedure | Procurement & Finance

Document Owner: Procurement Department

Applies To: U.S. entities and UAE entities (differences are shown in the Required Documents table)

Effective Date: August 2026

Version: 1.1 (see Revision History)

Review Cycle: Annually, or when the process or policy changes

Portfolio sample. The organization, systems, timelines, and thresholds in this document are illustrative.

1. Purpose

This SOP defines the standard process for onboarding new vendors. It gives requesting departments a clear, step-by-step procedure and gives Finance and Procurement the checks they need to ensure that every vendor is compliant, accurate, and activated on time.

2. Scope

In scope: all new vendors requested by any department for goods, services, or recurring contracts, in both U.S. and UAE offices. Changes to an existing vendor's bank details are also covered (see Exceptions and Special Cases).

Out of scope: employee reimbursements, which follow the Expense Approval Workflow, and utilities or government bodies that Finance sets up directly.

3. Definitions

Term	Meaning
Vendor	An outside business or individual that provides goods or services to the company and is paid by it.
Vendor Request Form	The online form in the Procurement Portal used to request a new vendor and attach supporting documents.
IRS Form W-9	A U.S. form on which a vendor provides its legal name and taxpayer identification number. Non-U.S. vendors paid by a U.S. entity provide a W-8 series form instead.
1099 status	Whether payments to a U.S. vendor must be reported to tax authorities on an information return. Finance determines this during review.
Backup withholding	Tax withheld from payments when a vendor's taxpayer ID is missing or does not match records.
Tax registration certificate (TRN)	A UAE document confirming a vendor's registration for tax purposes.
Trade license	A UAE government license showing a business is legally allowed to operate.

Term	Meaning
ERP system	The enterprise system where vendor profiles are created and purchase orders are issued (for example SAP Ariba, Coupa, or NetSuite).
Purchase order (PO)	A document authorizing a purchase from an approved vendor.

4. Roles and Responsibilities

Role	Responsibilities	Must not
Requesting Department	Completes the Vendor Request Form, attaches all required documents, and answers questions from Finance.	Approve its own request or edit bank details after submission.
Manager or Director	Confirms the business need and approves the request before it goes to Finance.	Act as the Finance reviewer for the same request.
Finance	Reviews documents, runs the compliance checks, and approves the vendor or returns the request with a reason.	Create the vendor profile.
Procurement	Creates the vendor profile in the ERP system, confirms activation, and maintains this SOP.	Approve compliance checks.

Keeping these duties separate means no one person can request, approve, and pay a vendor. This is a basic fraud-prevention control.

5. Procedure

Step	Owner	Action	Target time
1	Requesting Department	Complete the Vendor Request Form in the Procurement Portal and attach all required documents (see Required Documents).	Same day
2	Manager or Director	Review the request for business need and approve it, or return it with comments.	1 business day
3	Finance	Review documents and complete the compliance checks (see Compliance Checks and Controls). Approve the vendor, or return the request with a clear reason.	2 business days
4	Procurement	Enter the vendor details in the ERP system and create the vendor profile.	1 business day
5	Procurement	Send an activation confirmation to the requesting department.	Same day
6	Requesting Department	Begin issuing purchase orders to the vendor.	After confirmation

Overall target: up to 5 business days from a complete submission to activation. The clock stops while a request is returned for corrections.

Vendor Onboarding Approval Flow

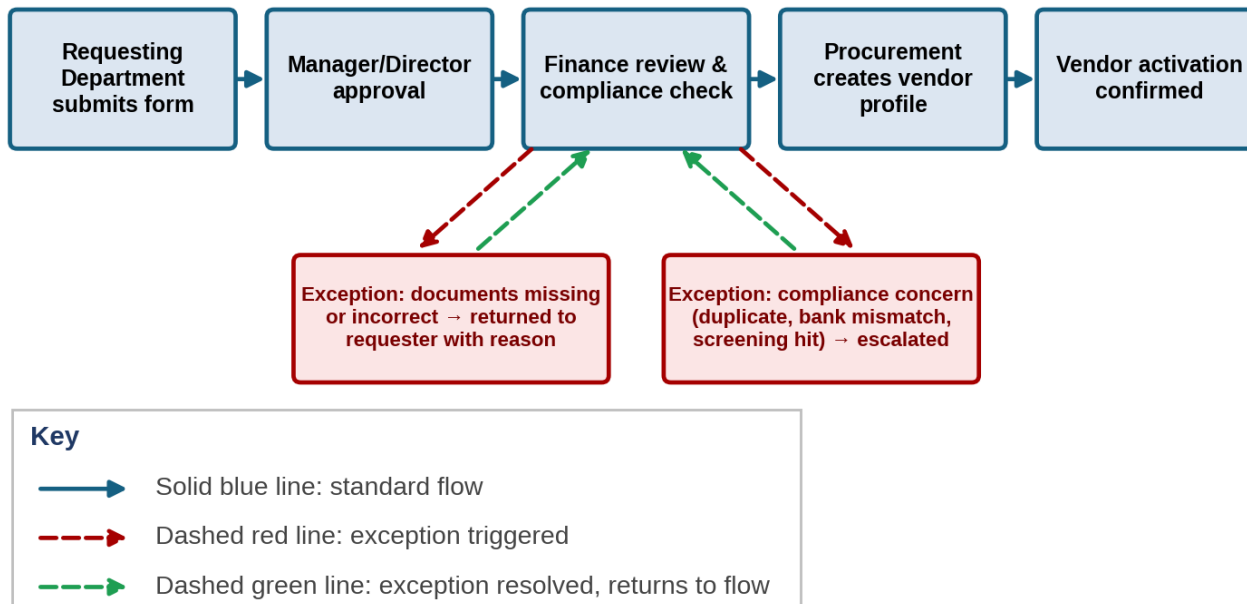


Figure 1. Vendor onboarding approval flow, including exception paths.

6. Required Documents

Document	U.S. entities	UAE entities
Tax identification	IRS Form W-9 (U.S. vendors) or W-8 series form (non-U.S. vendors)	Tax registration certificate (TRN), where the vendor is registered for tax
Business registration	Proof of business registration or incorporation	Trade license
Bank details	Signed bank details letter or voided check	Bank letter showing account name and IBAN
Contact and address	Primary contact name, email address, and mailing address	Primary contact name, email address, and mailing address
Contract or quote	If applicable	If applicable

The image shows a 'Vendor Request Form' from a 'Procurement Portal'. The form is divided into several sections with input fields and upload buttons. The sections are: Vendor Legal Name (Acme Supply Co.), Vendor Type (Recurring Services), Primary Contact Name (Jordan Lee), Contact Email (jordan@acmesupply.com), Mailing Address (500 Business Ave, Suite 200, Los Angeles, CA 90015), Tax ID / W-9 Upload (acme_w9.pdf), Bank Details Upload (acme_bank_details.pdf), and Notes for Finance Review (Recurring monthly service contract, first PO expected Sept 2026). At the bottom right, there are two buttons: 'Save Draft' and 'Submit Request'.

Figure 2. Vendor Request Form (fictional sample).

7. Compliance Checks and Controls

Check	What is verified	Owner
Duplicate vendor	Search the ERP system by legal name, tax ID, and bank account to confirm the vendor does not already exist.	Finance
Tax ID validation	The legal name on the form matches the W-9 or tax registration certificate. Finance also determines 1099 status and whether backup withholding applies.	Finance
Bank detail verification	Confirm the bank details by calling a known vendor contact number, not the number on the form, before the first payment.	Finance
Sanctions and watch list screening	Screen the vendor against the sanctions and watch lists required by company policy.	Finance
Conflict of interest	The requester confirms whether anyone at the company has a personal connection to the vendor.	Requesting Department

8. Exceptions and Special Cases

Situation	What to do
Documents are missing or incorrect	Finance returns the request with the reason. The requester corrects it and resubmits. The Finance target time restarts on resubmission.
Urgent request	Mark the request Urgent and state the business reason. The Manager or Director must approve the urgency. Finance prioritizes the review but does not skip any check.
One-time vendor	Set up as a one-time vendor with Finance approval. The same compliance checks apply, and the profile is deactivated after the payment.

Situation	What to do
Change to an existing vendor's bank details	Submit a Vendor Change Request, not a new form. Finance must verify the change by call-back before it is applied. Never accept bank detail changes by email alone.
Request rejected	The requester is told the reason. They may correct and resubmit, or escalate to the Procurement Manager.

9. Troubleshooting

Problem	Likely cause	Fix
The Submit Request button is inactive.	A required field or upload is missing.	Check each field and attachment, then try again.
The request was returned twice.	The vendor's legal name does not match the tax document.	Use the exact legal name from the tax document and re-upload.
The portal reports a duplicate vendor.	The vendor already has a profile.	Contact Procurement to reactivate or update the existing profile.
No activation after 5 business days.	The request may be waiting on a step.	Check the request status in the portal, then contact the Procurement Help Desk with the request number.

10. Records and Retention

The completed Vendor Request Form and all supporting documents are stored in the vendor profile in the ERP system. Records are kept for the period set by the company retention schedule and applicable tax law.

11. Related Documents

- [Expense Approval Workflow](#): for employee reimbursements, which are outside this SOP.
- Procurement Policy and Delegation of Authority matrix: company intranet.

12. Revision History

Version	Date	Author	Summary of Changes
0.1	August 12, 2026	Kathleen (Katie) Taylor	Initial draft
0.2	August 13, 2026	Kathleen (Katie) Taylor	Incorporated Finance feedback on required documentation; added Manager or Director approval step
1.0	August 14, 2026	Kathleen (Katie) Taylor	Added mailing address field; finalized for release
1.1	October 7, 2026	Kathleen (Katie) Taylor	Added definitions, target times, U.S. and UAE document comparison, compliance controls, exceptions, troubleshooting, and records sections; updated the flow diagram with exception paths